

The Contract Decoder

11 Contract Clauses That Are Costing You Thousands

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Pro Tip: Upload your contract to <https://hiddenfeeai.com> for \$15 AI analysis

Danger Zone #1: The Scope of Work

Vague language creates **unlimited financial exposure**. When a contract says "standard materials" — that means **nothing legally**.

Real Example: A \$45,000 kitchen renovation with "cabinetry as selected" — upgrades cost \$8,400 extra plus 25% markup.

The Fix: Every material by **brand, model number, quantity, and price**. If it's not in the contract, it's not included.

Danger Zone #2: The Payment Schedule

How you pay = your leverage. **50-70% upfront** = no recourse.

Real Numbers: A \$75,000 project with 60% down = \$45,000 before work starts.

The Fix: Max **25-30% deposit**. Milestone payments. **20% held** until completion.

Danger Zone #3: The Change Order Clause

This causes **more cost overruns** than anything else.

Real Example: Bathroom reno \$18,000 → \$31,000 from 45% change markups + \$350 fees.

The Fix: Cap at **10-12%**. Require **written approval**.

Danger Zone #4: The Fine Print Appendices

Hidden terms: arbitration, liability caps, attorney's fees, forum selection.

Danger Zone #5: The Auto-Renewal Trap

Missed a 90-day window by 12 days. **\$4,800 wasted**.

The Fix: Remove auto-renewal. Month-to-month with 30 days notice.

11 Contract Clauses Decoded

#	Clause	What It Means
1	Time is of the Essence	If YOU delay, you breach
2	Force Majeure	Can excuse supplier delays
3	Indemnification	You pay their costs
4	Limitation of Liability	Caps at contract value
5	Waiver of Consequential Damages	No indirect losses
6	Attorney's Fees	You pay if you lose
7	Arbitration	No right to sue
8	Governing Law	Sue in their state
9	Entire Agreement	Verbal promises meaningless
10	Assignment	Contract sold without consent
11	Right to Lien	Can be abused

The 7-Step Contract Audit Method

1. **Map the Money** — List every dollar, compare to market
2. **Trace the Payment Schedule** — Check leverage at each stage
3. **Find Change Order Language** — Look for caps or unlimited markups
4. **Read the Fine Print** — Check every appendix
5. **Check Auto-Renewal** — Note deadlines and penalties
6. **Verify Scope** — Brands, models, quantities, timelines
7. **Use AI** — <https://hiddenfeeai.com> for \$15

Negotiation Scripts

Script 1: "The markup is above industry standard. Can you break this down?"

Script 2: "I prefer milestone payments with 20% held until I sign off."

Script 3: "Please cap change orders at 12% with written approval."

Script 4: "Remove auto-renewal. Make it month-to-month with 30 days notice."

Real Case Studies

Case	Original	After AI	Saved
HVAC Proposal	\$14,500	\$10,800	\$3,200
Auto Loan APR	8.9% (2.5% markup)	6.4%	\$2,400
Renovation Contract	35% markup	capped	\$12,000+
Medical Bill	\$12,000	\$4,200	\$7,800

Your Action Plan

- ☐ Get scope in writing with brand, model, quantity
- ☐ Negotiate max 30% down, milestone-based payments
- ☐ Cap change orders at 10-12% with written approval
- ☐ Read every appendix before signing
- ☐ Remove auto-renewal or set calendar reminders
- ☐ Upload your contract to <https://hiddenfeeai.com>

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This guide helps consumers understand and negotiate contracts. Upload your next contract to HiddenFeeAI for AI-powered analysis — \$15, results in minutes.